The world in brief

Catch up quickly on the global stories that matter

Photograph: Getty Images

Donald Trump said he would extend a ceasefire with **Iran**, due to expire on Wednesday, until peace talks are concluded. It is unclear whether Iran and Israel will agree to the negotiations. Mr Trump said American forces would maintain a blockade of Iranian ports and ships. Meanwhile at least three ships came under fire in the **Strait of Hormuz**; one was reportedly heavily damaged by an Iranian gunboat.

The price of **oil** briefly rose above $100 on reports of the ship attacks, before falling. But **American stock futures** showed signs of optimism following Mr Trump's ceasefire extension. S&P 500 futures rose by more than 0.5%; those for the tech-heavy NASDAQ 100 climbed by nearly 0.8%. Europe's STOXX 600 was largely flat in morning trading.

Israel's armed forces accused **Hizbullah**, an Iran-backed militia, of breaching an American-brokered ceasefire in Lebanon by firing rockets at its troops in southern Lebanon. It was the first such incident since the truce began last week. Israel also said it intercepted a drone. Separately, Israel jailed two of its soldiers for smashing a statue of Christ with a sledgehammer in Lebanon.

Ukraine said it had repaired the Druzhba pipeline, a Soviet-era route carrying Russian crude to central Europe. It said it would now restore flows to Hungary and Slovakia. That could end a months-long dispute that delayed a €90bn ($106bn) loan by the European Union to Ukraine. Hungary and Slovakia had blocked it until supplies resumed.

Lufthansa cancelled 20,000 short-haul flights across Europe between May and October. The German airline wants to save 40,000 tonnes of jet fuel, which has doubled in price since the Iran war began. On Tuesday European transport ministers met to discuss how to manage jet-fuel shortages. Meanwhile **United Airlines**, an American carrier, slashed its profit forecast for 2026 because of higher fuel prices.

Voters in **Virginia** approved a Democrat-drawn congressional map, which could flip four Republican seats in America's House of Representatives in November's midterm elections. At this point in an unprecedented gerrymandering war, after several states have changed their maps, neither party has gained an advantage. *The Economist*'s midterms forecast gives Democrats a 95% chance of taking control of the lower house and a 46% probability of winning the Senate.

Wes Streeting, **Britain's** health secretary, promised that "children in the UK will be part of the first smoke-free generation," after Parliament passed a bill banning anyone born after January 1st 2009 from buying **tobacco.** Other measures include restrictions on vaping and on marketing. New Zealand, which passed a similar law in 2022, repealed it two years later, in part to fund tax cuts.

Figure of the day: 36%, the real-terms increase in the price of eggs in Britain. Read about why Ukrainian eggs have got British farmers clucking.

Photograph: EPA

Britain’s laboured economy

On Wednesday Britain released consumer price index data for March. The energy shock caused by war in Iran drove annual inflation up to 3.3%, from 3% in February. But much of the pain is yet to come. The government’s energy price cap is expected to rise in July. Households also face steeper prices for other goods and services when businesses pass down higher operating costs.

The labour market offers little comfort. Britain’s unemployment rate unexpectedly fell to 4.9% in the three months to February, down from 5.2% in the three before that. But this is partly due to the method of counting: fewer people are actively seeking work, and so have fallen out of the figures. Meanwhile the number of payrolled employees has fallen, wage growth is weaker and hiring has slowed. The timing is bad for the Labour Party, which faces an uphill fight in local elections on May 7th.

Photograph: Getty Images

Why China’s exports will keep on rising

China’s exports are booming despite America’s trade war and conflict in the Middle East. In the first three months of 2026, shipments rose by nearly 15% year on year, extending a surge that pushed the trade surplus to record levels in 2025. *The Economist*’s new analysis of trade data shows why.

Exports to America have fallen sharply, but sales to other countries have soared, more than offsetting the loss. Most of the increase reflects genuine new demand, especially in Asia and Europe, not simply rerouting through third countries. China is also exporting different goods—fewer consumer products, and more components, machinery and high-tech parts—boosted by the AI boom. Cheap prices, helped by weak domestic demand, keep exports competitive.

China is also better placed than many Asian rivals to weather the Iran war. Its reliance on domestic coal shields firms from the oil-price shock. And higher petrol prices are pushing consumers towards electric vehicles, lifting demand in Japan, South Korea and India.

Photograph: Getty Images

Tesla lacks drive

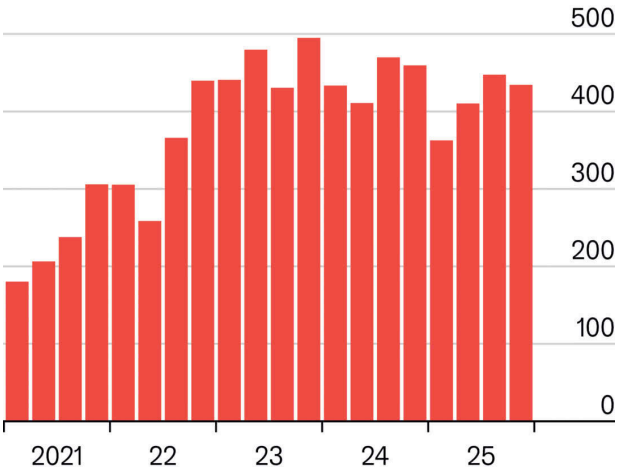
There was a time when investors could barely contain their excitement for Tesla's earnings, eager to hear of sales-records broken or the latest plan by Elon Musk, the carmaker's boss, for EVs. Those days are over.

The firm's first-quarter results on Wednesday are unlikely to reignite the old enthusiasm. The firm is expected to report a 9% year-on-year decline in revenue, to $22bn. It does, however, have big investment plans. It has forecast capital spending of more than $20bn this year, up from $8.5bn in 2025.

Much of that will go on projects the firm has staked its long-term growth on, including the Cybercab, its robotaxi, as well as development of humanoid robots and chipmaking capacity. This may give some of the retail-investor fanbase a nostalgic rush. But Mr Musk's attention has wandered. He now seems more interested in other businesses like SpaceX, his rocket company, as a path to tech domination.

Losing momentum

Tesla, vehicle deliveries, '000



Source: LSEG Workspace

Photograph: U.S. Army

Battle of the bulging order books

America's big "prime" defence companies are benefiting from a more violent world. On Tuesday GE Aerospace, Northrop Grumman and RTX reported a surge in orders in first-quarter results; Lockheed Martin reports on Thursday. Armed forces on both sides of the Atlantic need to fill magazines depleted by war in Ukraine, and Europe is tooling up to reduce its reliance on America. Israel and America have burned through munitions in Iran, while beleaguered Gulf states have used up interceptors.

But meeting the demand requires investment that is often slow to pay off. Lockheed needs four years to increase annual production of its PAC-3 interceptors to 2,000, for example. America fired around 400 in the first 16 days of the Iran war. It is a similar story for RTX's Tomahawk missiles. And investors worry about a clique of agile "neo-primes", including Anduril, Palantir and SpaceX, fighting for a growing share of defence budgets. Legacy armsmakers face a tough battle.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Wednesday: Which Portuguese explorer was the first European to cross the Pacific?

Tuesday: Which port and naval base was ceded to Britain by Spain in the 1713 Treaty of Utrecht?

Where there’s music there can be no evil.

Miguel de Cervantes